

IBM Apptio Costing

Translate data-driven insights to optimize costs and fund innovation

Level 2 client presentation

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Common questions about IT costs



- Do you want have more transparency of all IT costs?
- Do you want to shift the dialog from high cost of IT to the value of IT?
- How can you better understand and explain the consumption of your IT investments?
- How can you accurately analyze your vendor, labor, and cloud spend and the value it delivers?
- How can you best cut costs from the addressable IT spend?
Or redirect that spend?

What questions do you have about your IT costs?

Gartner indicates that ...

62%

of CIOs don't believe that there is adequate transparency of IT costs¹



"financial transparency drives priorities, decisions and resource allocations to what is most important"

John Roberts, Gartner
(Retired – ex-VP and Distinguished Analyst)

IT assets **behave differently**
than general finance assets

General finance tools
require lengthy customizations

Excel and manual tools are
error-prone and time-intensive

General ledger **is not structured**
for technology investment decisions

Current spend is not defensible
and lacks **relevant peer data**

Business units lack transparency
into service consumption

General finance tools **are** **not enough**

What if you could...

- ✓ Establish foundational cost transparency
- ✓ Get actionable insights in 30 days
- ✓ Save time & reduce risk with an automated platform
- ✓ Drive scalable value quickly
- ✓ Implement a cost-effective solution

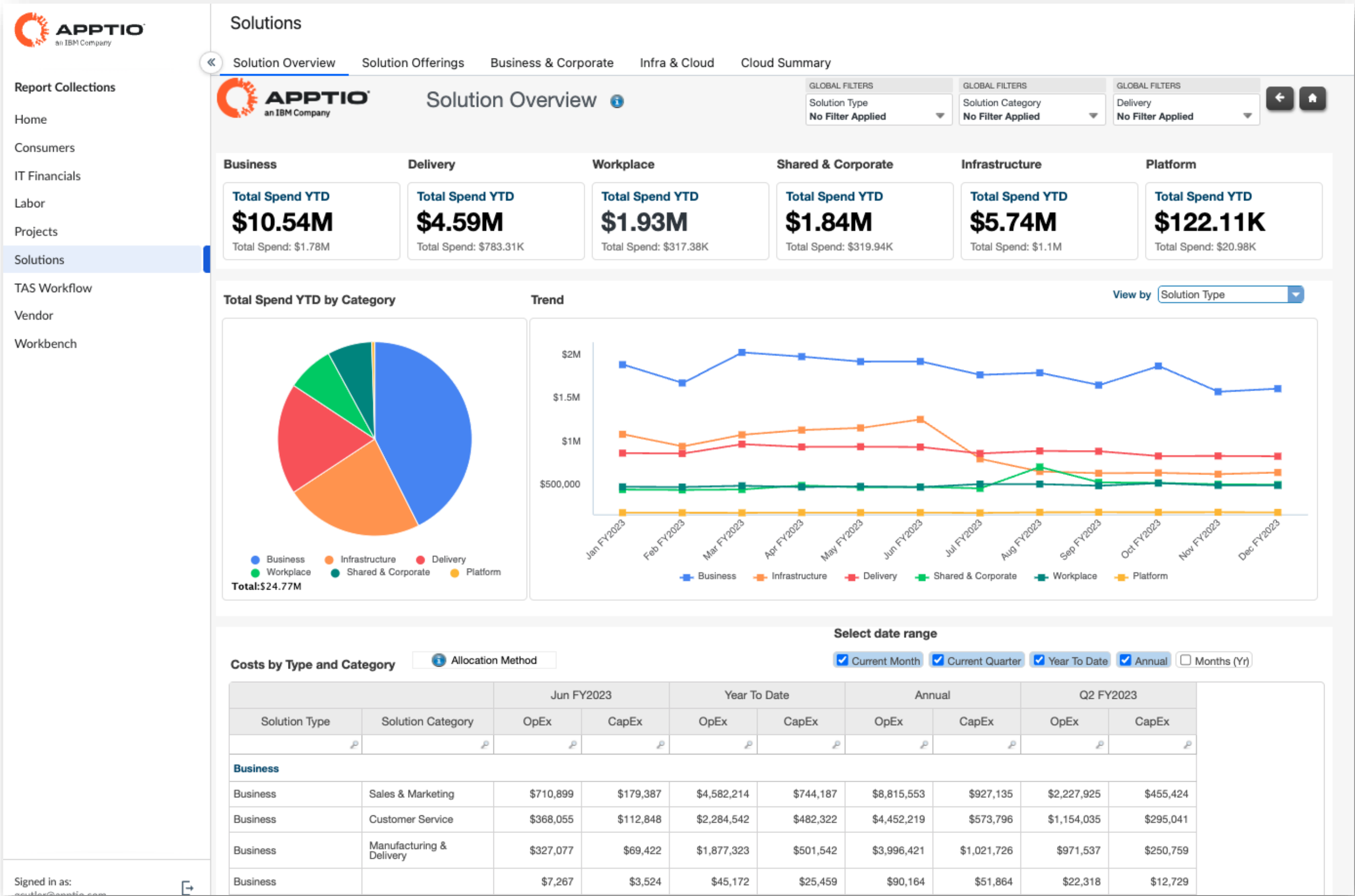
Use the expertise of a proven partner with:

- 16 years of TBM experience
- ITFM market leadership
- \$650B+ managed technology spend
- Over 1,800 successful TBM deployments
- ML & AI to automate and simplify your journey*

*In development

Introducing IBM Apptio Costing Essentials

Delivering foundational cost transparency of IT spend and rapid, actionable insights into the business value delivered



- Accessible starting point
- Managed services are included for simple configuration and management
- Surface insights and benchmarking data
- Align with organizational priorities, maturity, and technology spend

IBM Apptio Costing Essentials can do the hard work

Prescriptive Data Sources

Financial Data

- Chart of Accounts
- General Ledger
- Budget
- Forecast

Reference Data

- Labor
- Vendor
- Project lists
- Organization lists

IBM Apptio Data Management

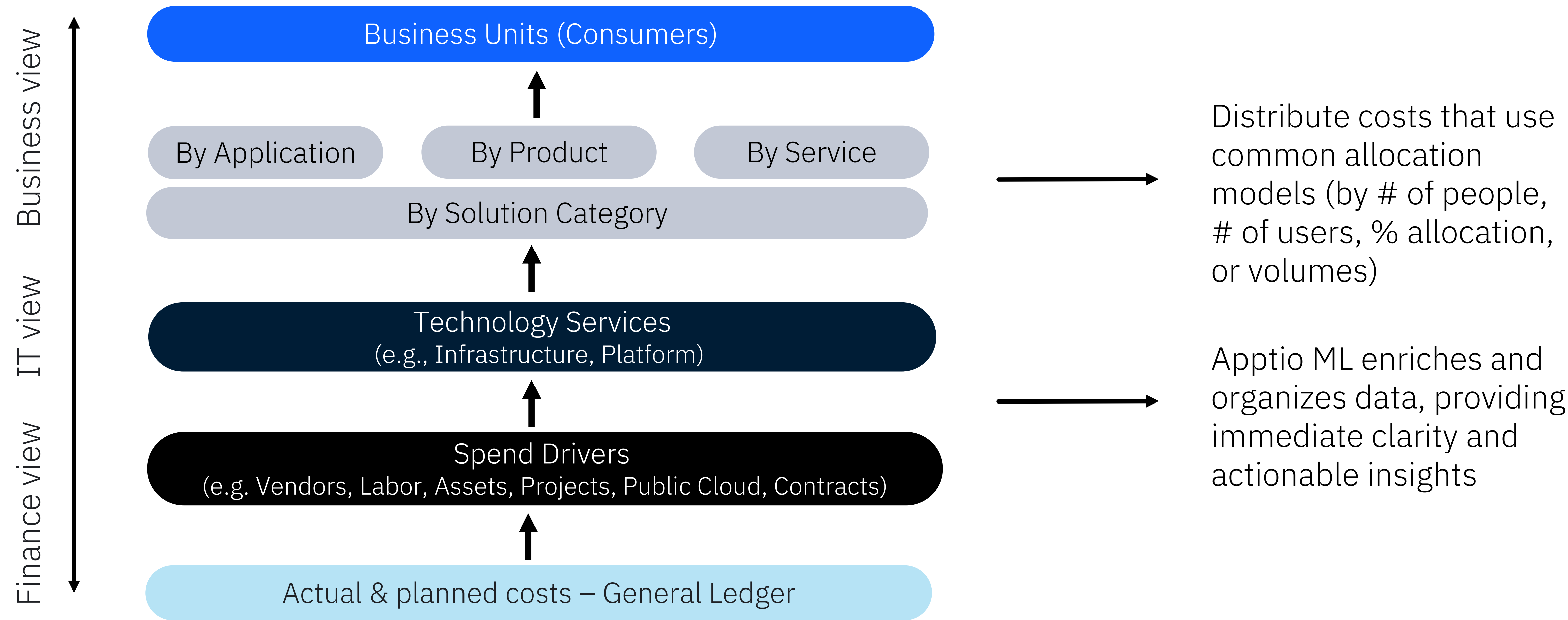
- Automated processes
- Proprietary ML auto-classification
- Prescriptive cost allocations
- Reports with actionable insights

IBM Apptio Costing Essentials outputs

- Continuously reducing effort and errors
- Informed decisions within 30 days and beyond
- Rapidly allocate spend to BUs
- Identify cost savings and optimization opportunities
- Showback of costs and services delivered
- Prioritize funding from run to change or growth

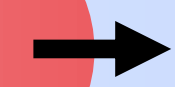
Prescriptive cost allocations

Use the power of a standardized model to *clearly and accurately articulate costs*, all the way up to your business units



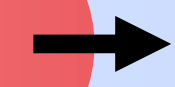
Simplify IT costs and consumption

IT assets behave differently than general finance assets



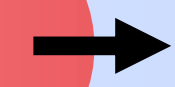
Built to help you **translate IT costs to business value**

General finance tools require lengthy customizations



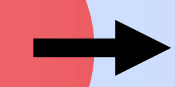
Simplified view into IT spend & consumption

Excel and manual tools are error-prone and time-intensive



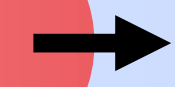
Automatically classify key spend drivers

General ledger is not structured for technology investment decisions



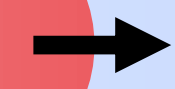
Get relevant spend and actionable insights

Current spend is not defensible and lacks relevant peer data



Benchmark actuals across cost categories

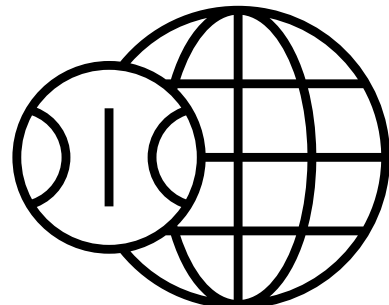
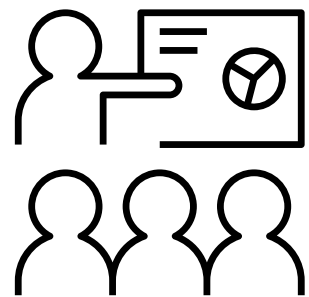
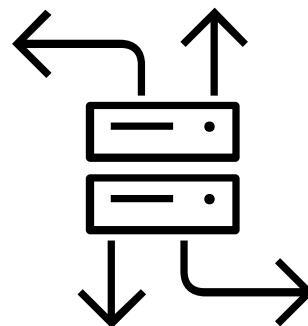
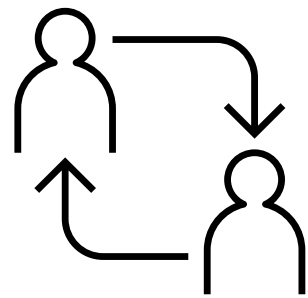
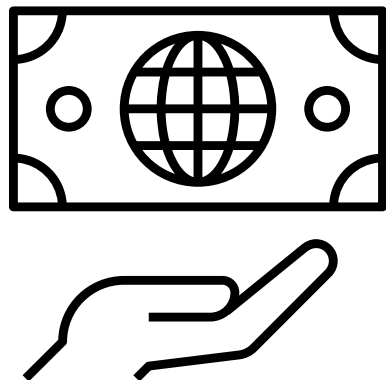
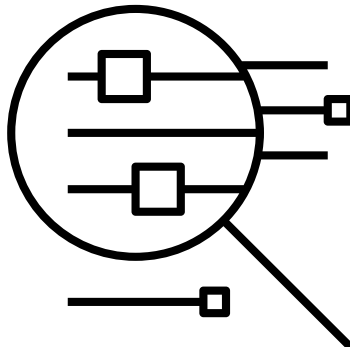
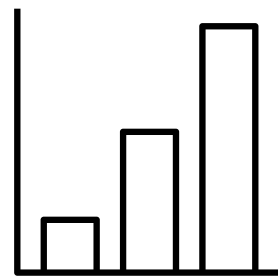
Business Units lack transparency into service consumption



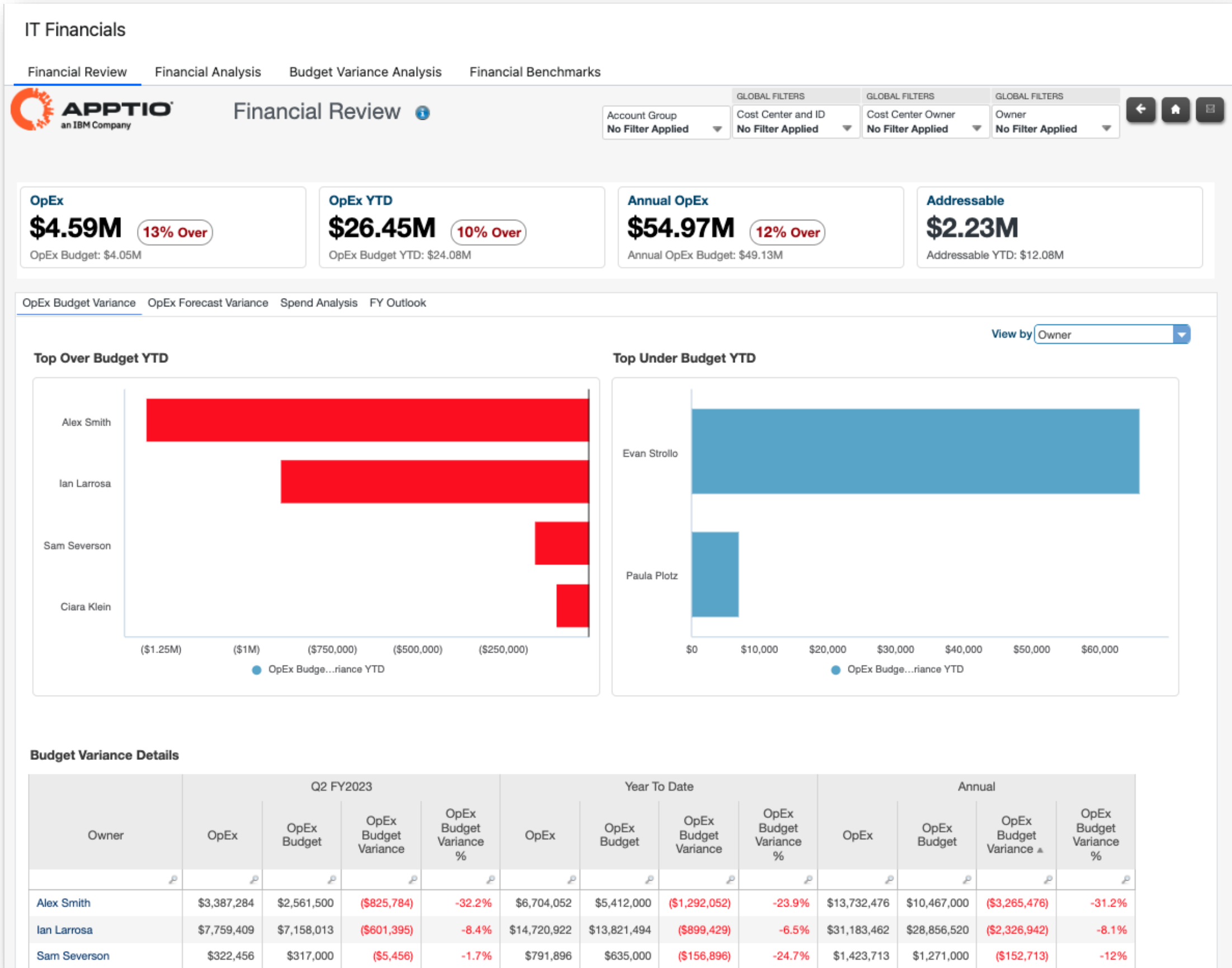
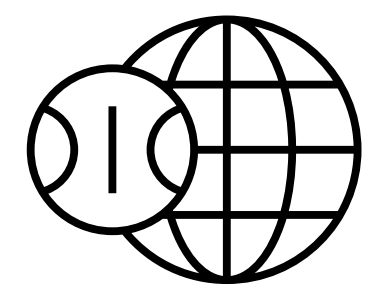
Surface IT spend per business unit

How IBM Apptio Costing Essentials helps

Key use cases

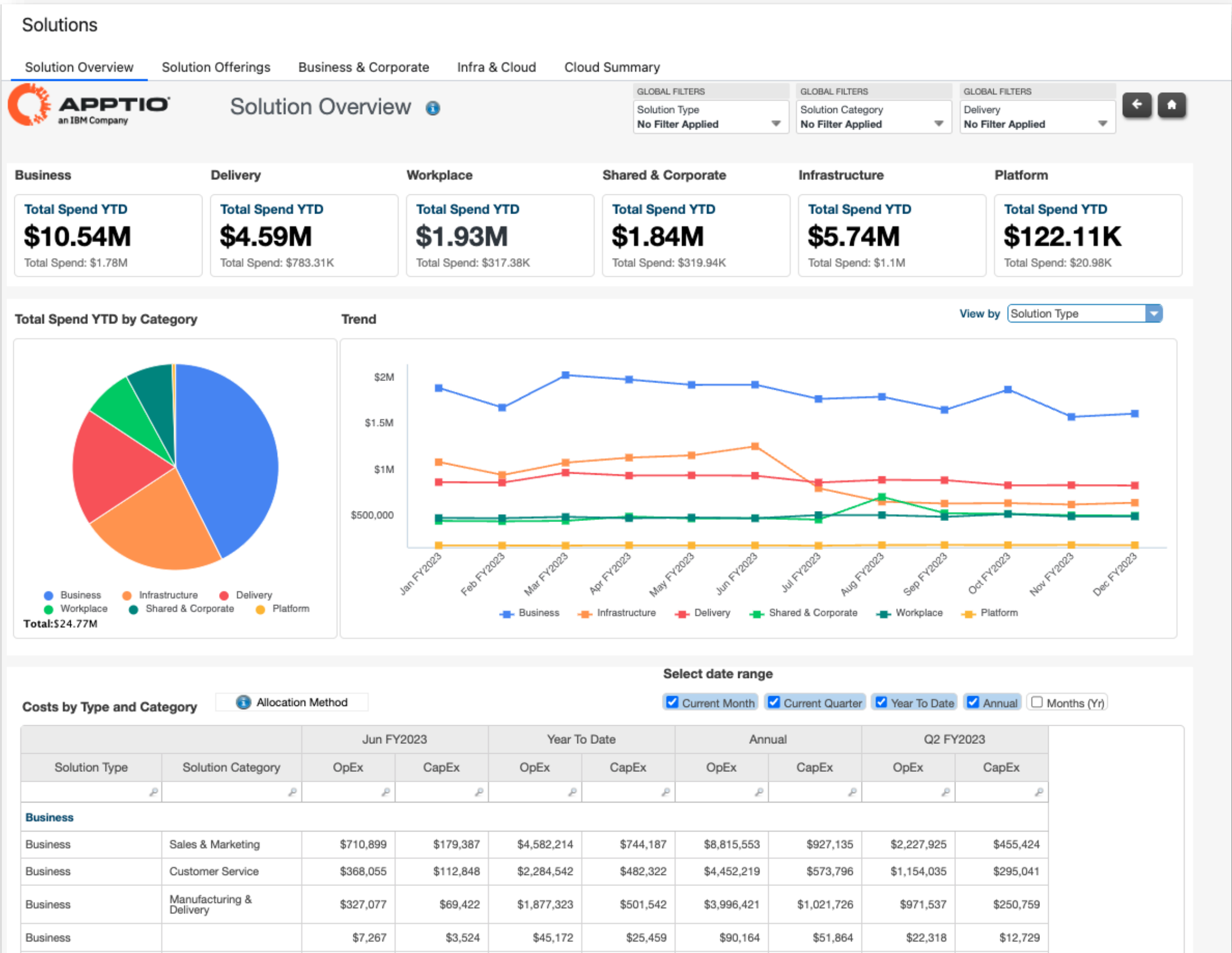
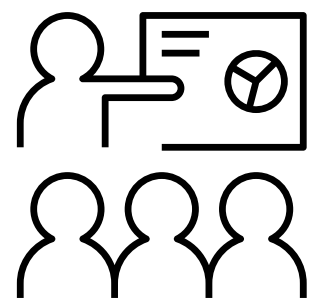
Understand IT spend 	Communicate IT spend 	Track cloud and infrastructure spend 	Manage workforce spend 
Manage & rationalize solution portfolio using prescriptive TCO 	Manage vendor spend 	Understand solutions composition (TCO) 	Understand investments & comparison to peers 

Understand IT spend



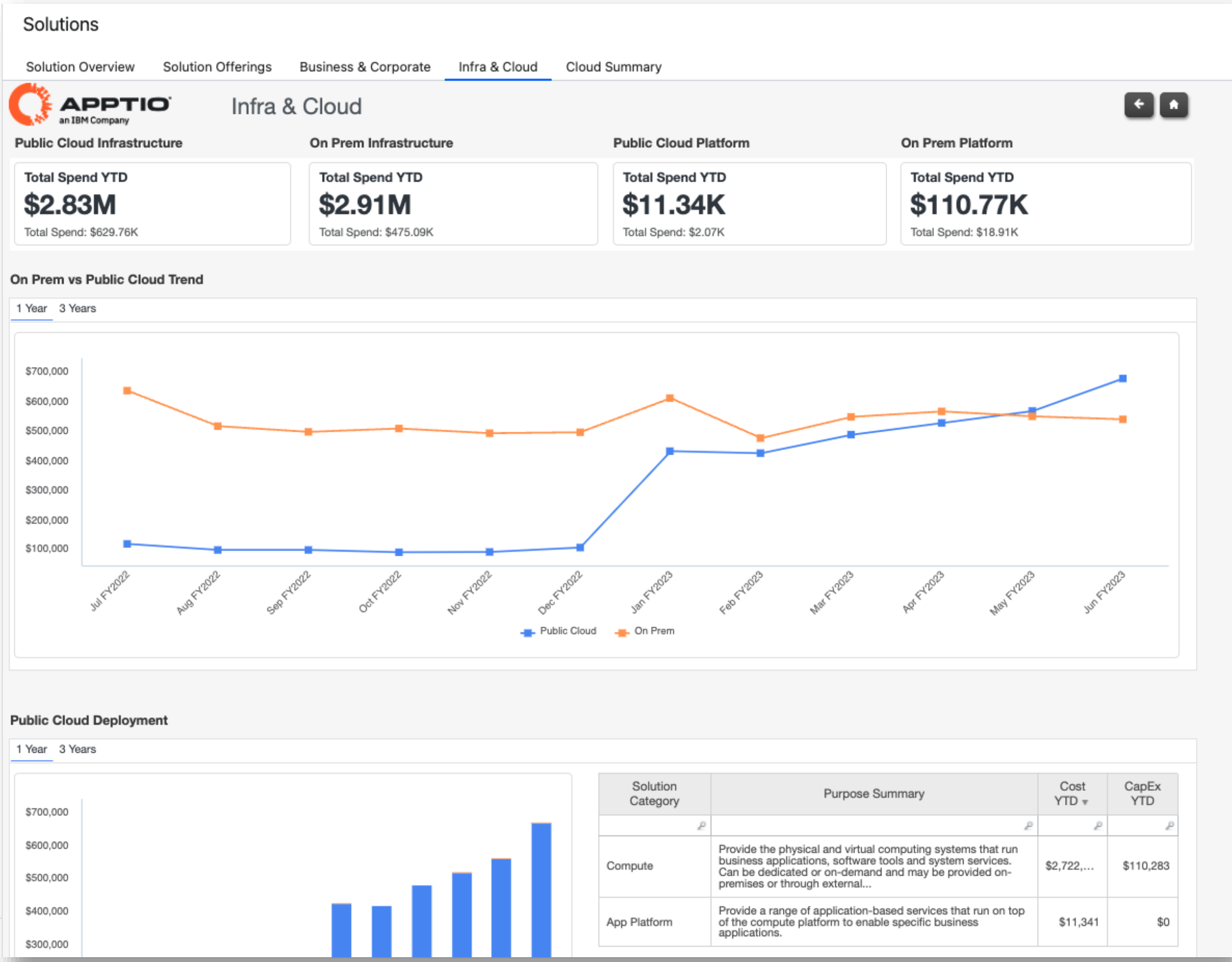
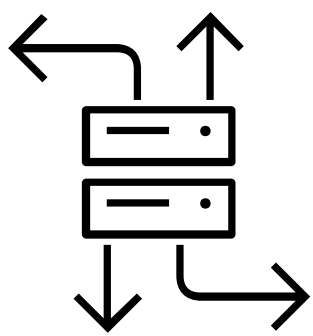
- Analyze IT spend by category and accountability
- Analyze transaction-level details to understand what is driving variance to plan
- Compare cost pool spend distribution to peer benchmarks
- Identify and analyze addressable vs. non-addressable spend
- Identify and explain the variance to financial plan
- Track and manage project spend to approved budget

Communicate IT spend



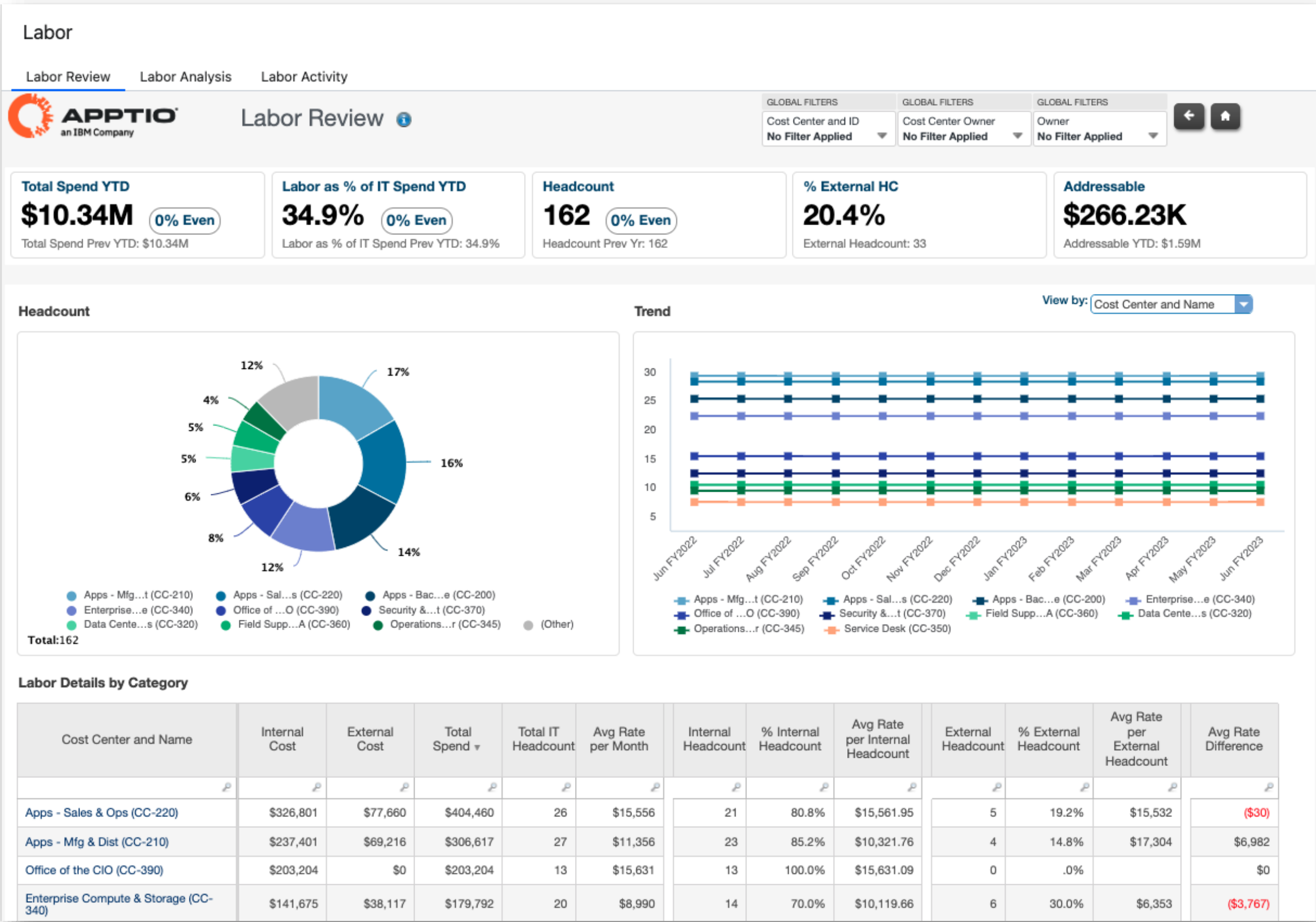
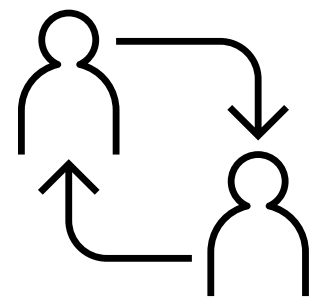
- Review and analyze IT spend for individual business units or agencies
- Analyze and compare IT spend and spend per employee across the organization
- Explain IT spend allocation methods and outcomes

Track cloud and infrastructure spend



- Track infrastructure spend across on-premises and public cloud
- Track public cloud spend by:
 - Category
 - Consuming IT offering
 - Department and DevOps team

Manage workforce spend

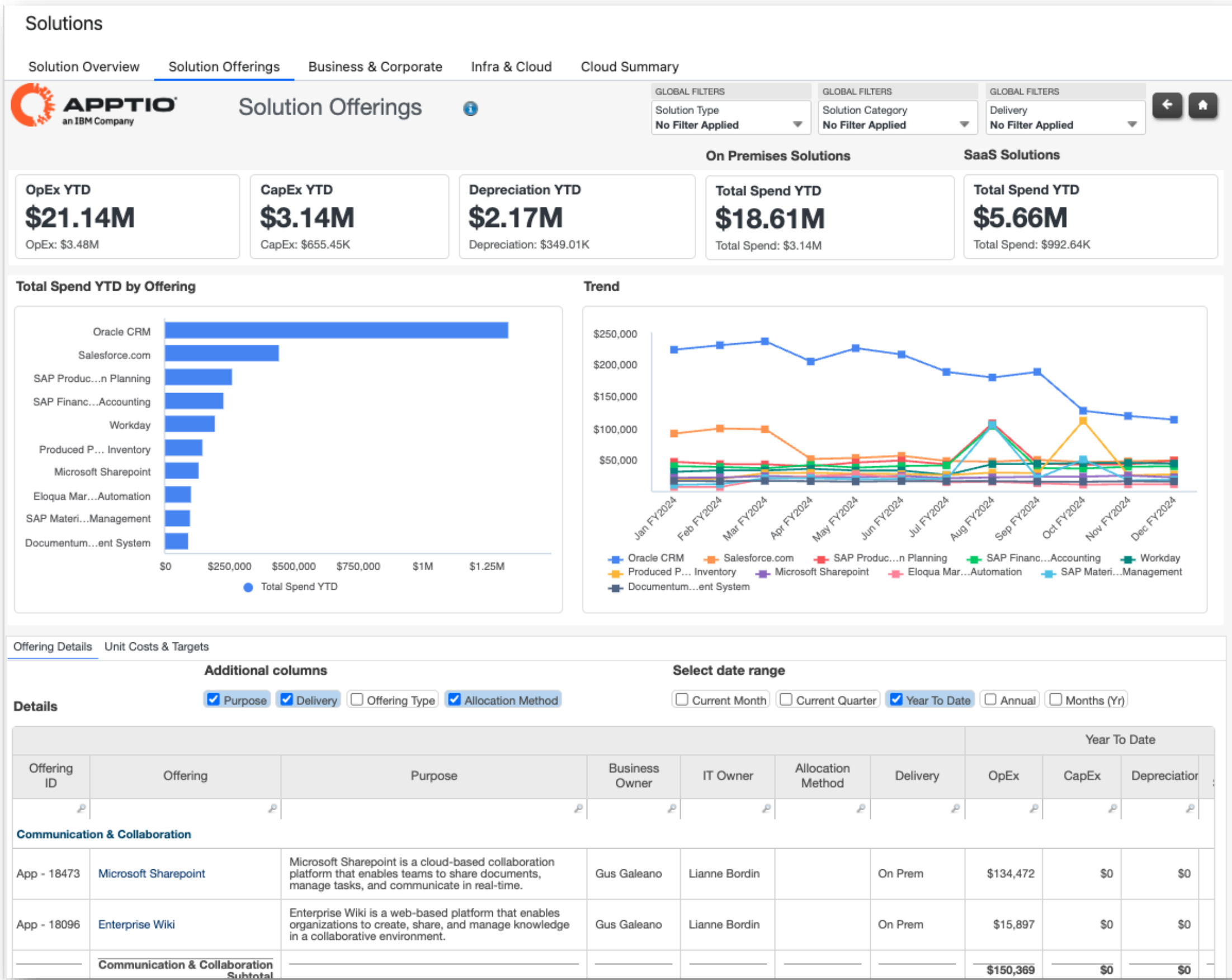


- Analyze the workforce that is assigned to technology offerings and run vs. change activities
- Analyze workforce costs by account classification
- Analyze workforce spend and rates by employee type, role, location, and vendor
- Compare staffing to headcount plan

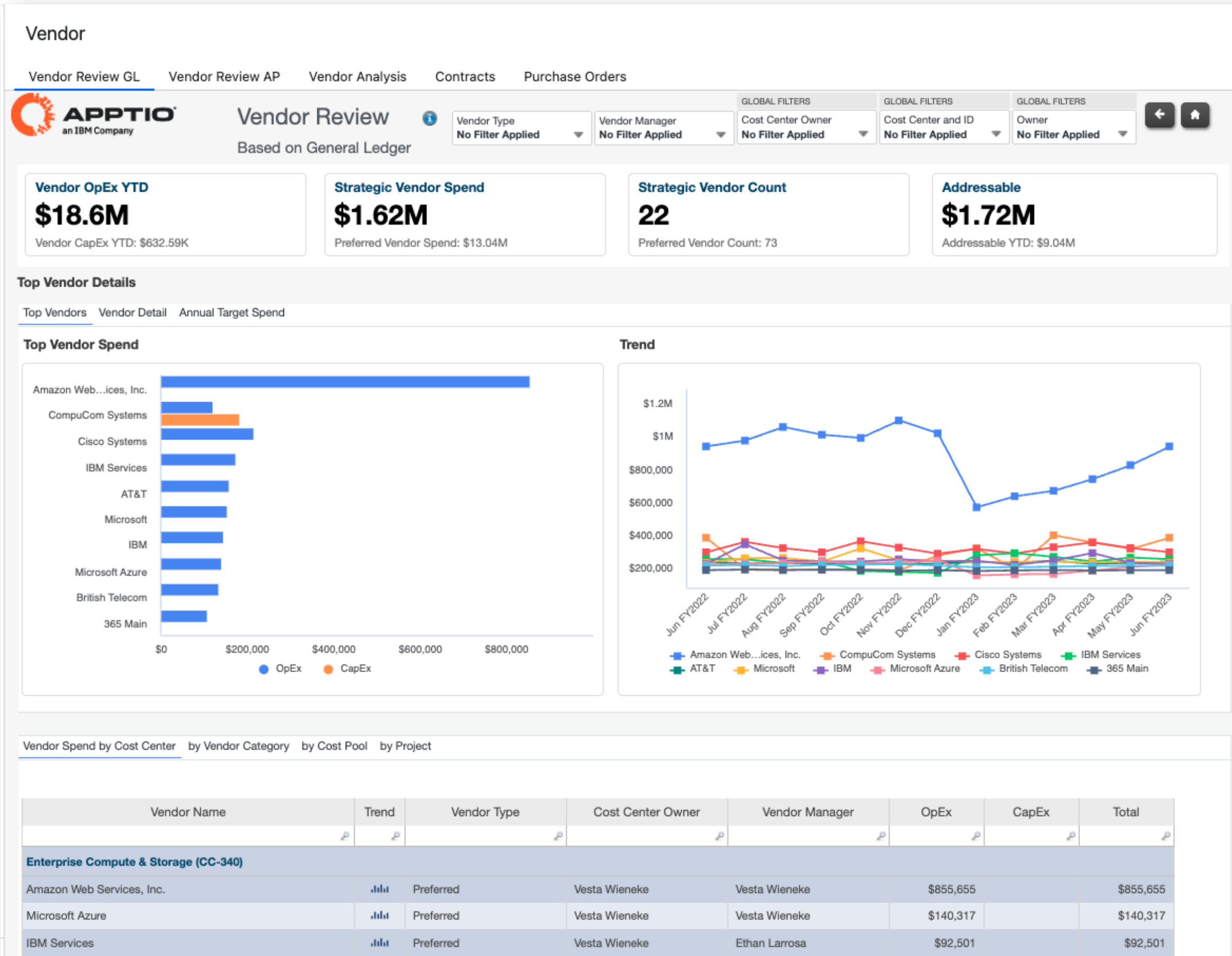
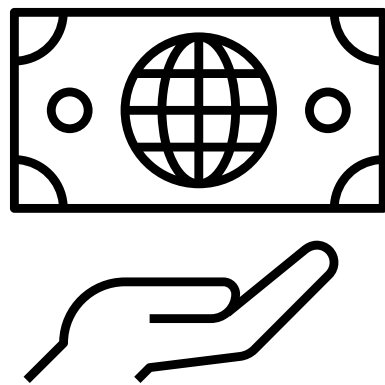
Manage & rationalize solution portfolio using prescriptive TCO



- Ability to understand and communicate solution TCO and allocate it back to the relevant part of the business
- Compare offerings within a specific solution category to identify overlapping functionalities and the possibility of retiring some to drive cost savings
- Track actual volume by solution offering and calculating average unit costs compared to the target

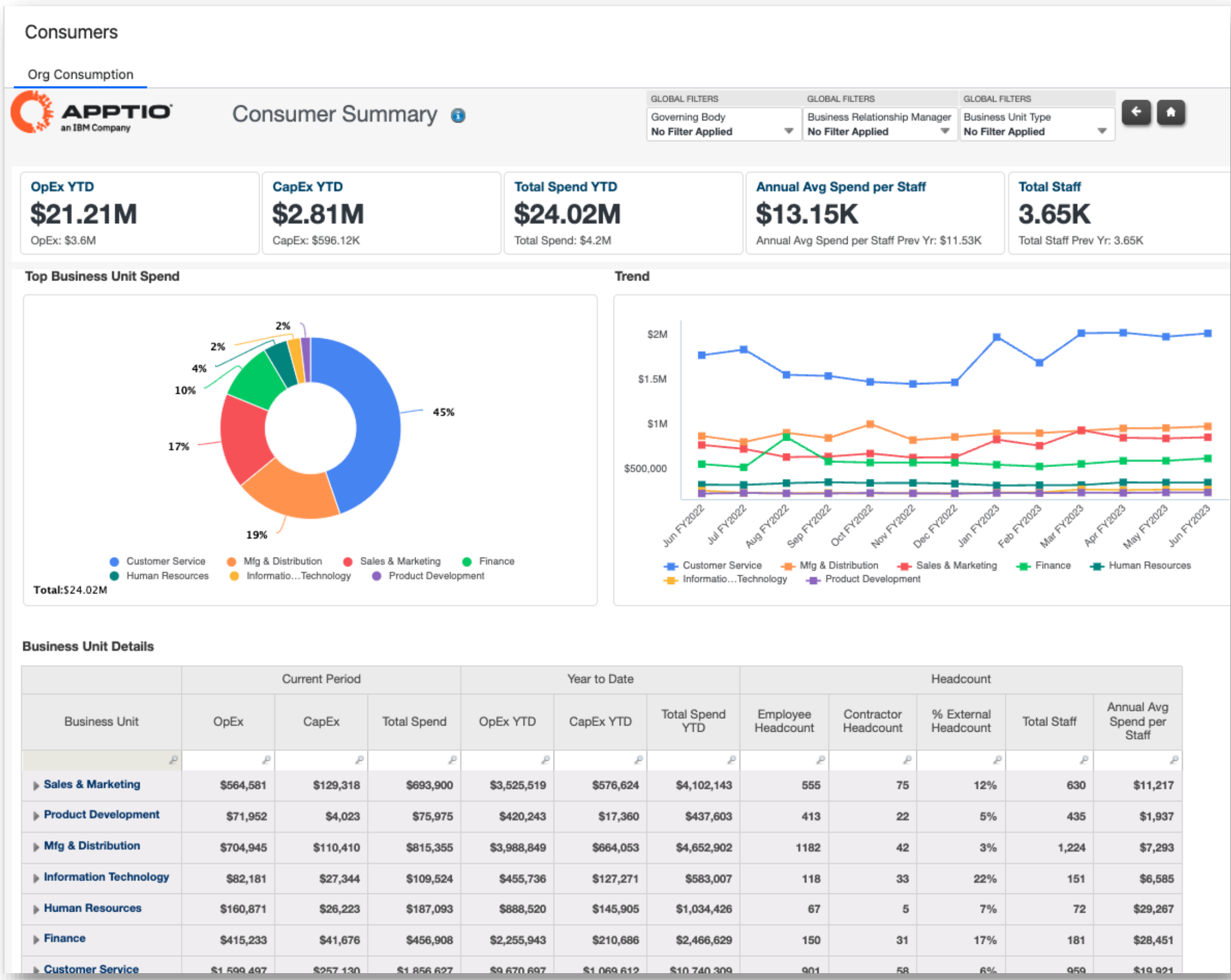
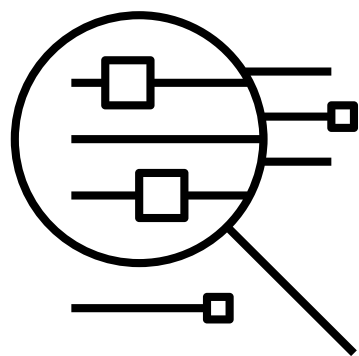


Manage vendor spend



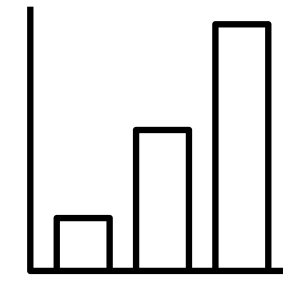
- Map vendor contracts to IT offerings
- Track committed spend
- Categorize and track vendor spend by strategic importance and function
- Track and control top vendor spend
- Track and eliminate vendors with the lead spend
- Identify expiring contracts before renewal

Understand solutions consumption (TCO)

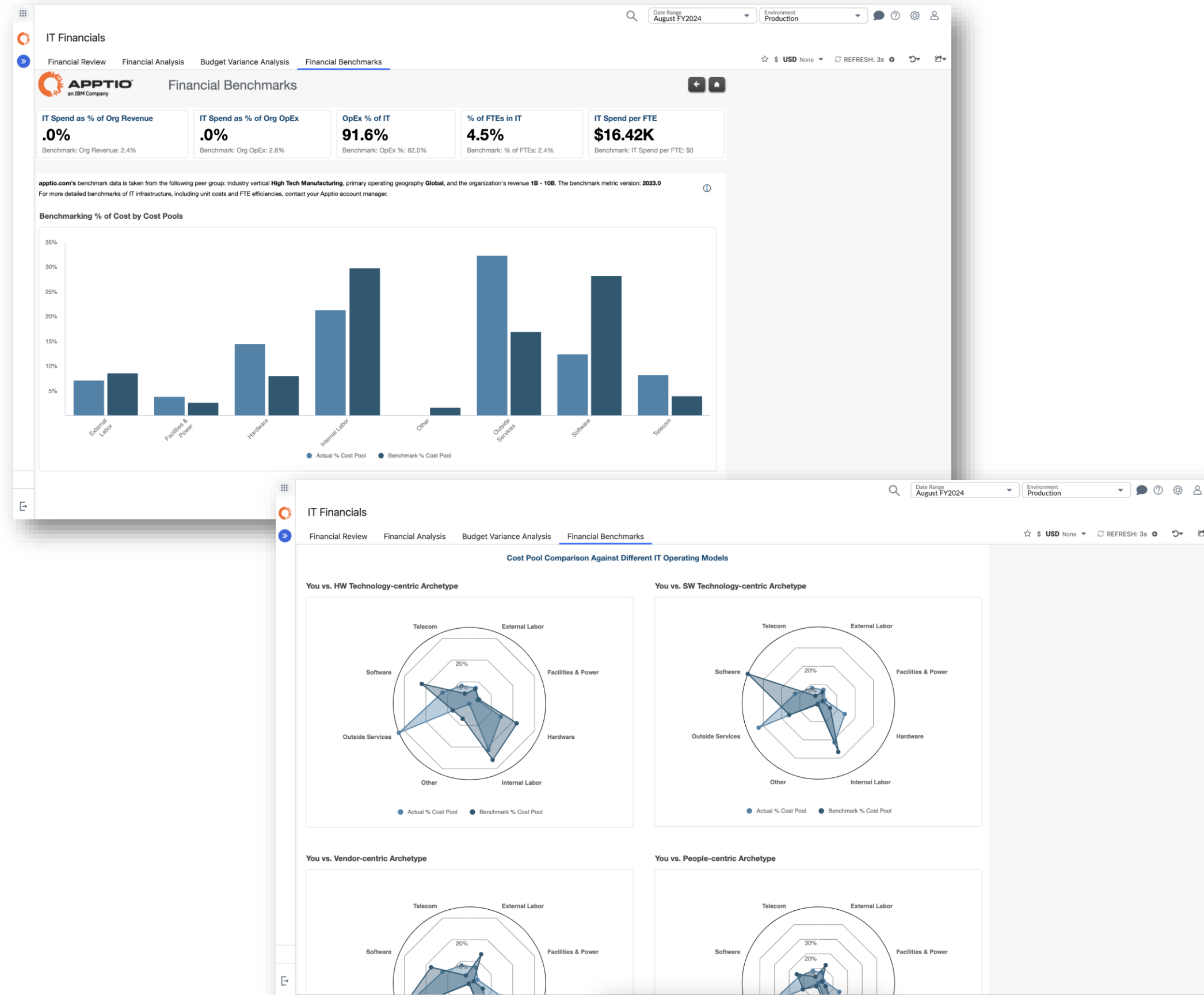


- Allocate IT spend to the primary consumers of the IT offerings
- Analyze workforce spend and resource allocation across IT offerings
- Analyze costs by category or IT offering (e.g., app, service, and product)
- Analyze project and vendor spend across IT offerings

Understand investments & comparison to peers



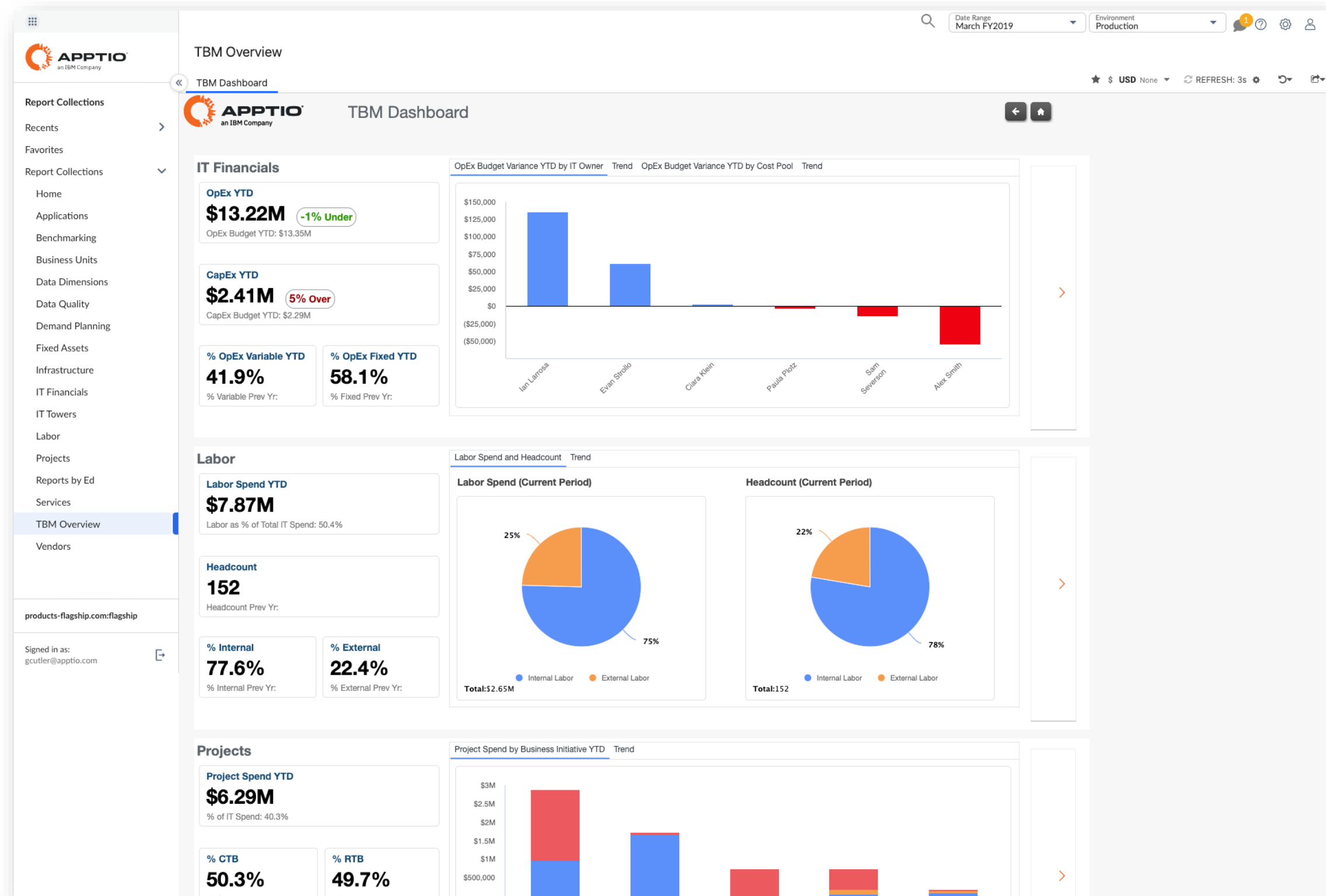
- Know where strategic overall investments fit in comparison to industry peers
- Identify areas of risk, set targets, monitor improvement efforts, and justify and defend costs
- Automated industry and financial cost pool benchmarks from Apptio peer metrics
- Compare and contrast industry benchmarks:
 - IT spend as % of revenue
 - IT spend as % of operating expense
 - % OpEx spend
 - IT spend per employee
 - IT FTEs as % of employees
- Compare cost pool benchmarks for budget defensibility and understanding IT OpEx benchmarks (cost as a % of IT OpEx):
 - Internal labor & external labor
 - Hardware & software
 - Outside services
 - Facilities & power
 - Telecom



*Benchmark capabilities are included in IBM Apptio Costing Essentials

Introducing IBM Apptio Costing Standard

*Elevate IT investment strategies through **automated, granular, and unrestricted allocations***



Optimize application TCO

- Lower the cost of specific applications by understanding the associated fully burdened cost structure

Rationalize application & service portfolio

- Lower the cost of the application and service portfolio by identifying and eliminating duplications and underutilized applications

Manage business unit consumption

- Partner with business unit leaders to achieve their business objectives with the most cost-effective IT solution

IBM Apptio Costing Standard

Includes IBM Apptio Costing Essentials, plus:

	Unrestricted allocations and fully-burdened TCO	Detailed infrastructure analysis and optimization
Enhanced workforce management with time-tracking	App, vendor, and services rationalization that leverage fully-burdened TCO	Enhanced vendor spend management and purchase order optimization



40% Reduction in technology spend

Needed to reduce technology costs while maintaining operations & agreements

- Maritz wanted to achieve a 3-year 35% technology cost reduction mandate and continue to meet service-level agreements
- Maritz replaced their spreadsheet-based custom allocation model because the old system was difficult and did not measure consumption

Apptio transformed how IT does business within the organization

- Reduced technology spend by nearly 40%, exceeding expectations
- Successfully identified and shifted spend to fund transformation
- Self-funded \$4M in new technology imperatives over 2 years

Maritz implemented Apptio to stay viable as a service provider

“We can determine true cost drivers so when businesses increase or decrease consumption, they directly influence their costs.”

Gerry Imhof, CIO

nationalgrid

\$106M

Savings through 130 cost optimization initiatives over 3 years¹

Application rationalization

- Using the application's total cost of ownership (TCO) reporting to rationalize applications, National Grid targeted approximately 400 applications for efficiency or decommissioning
- On track to save \$10M over three years
- In FY22, achieved \$2M in efficiency savings and reduced total cost per application

Network cost optimization

- Developed a use case to identify suspected excess circuit billing by their enterprise network carrier
- Using site-focused reporting of network costs, the team identified historical double billing across numerous sites
- Resulted in a \$1M credit

Technical debt

- Developed a use case to show the incremental cost paid to their enterprise data center hosting provider for end-of-life server platforms
- Annualized savings that targeted technical debt equated to \$1M

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